These, combined, have given us a good understanding of the income statement. We will also check the trends in EPS and diluted EPS. Earning per share directly impacts the investment performance of companies. We already had a look at these when evaluating growth rates. We should identify and understand how number of shares are changing and therefore any change in EPS that is not in line with Profit after Tax.

EPS and Diluted EPS

We should conduct such income statement analysis for multiple companies. This will give us more confidence and comfort with numbers.

In the next chapter, we ask questions about other items like ESOPs, teases and related party transactions. We will then move to the final part of the book. The key is to practice again and again rather than simply reading. The more we work with the numbers, the faster we will get comfortable with practical analysis.